India,[127] and the same message was reiterated at the Chennai 2019 informal summit between Xi Jinping and Narendra Modi Xi. At the Chennai Summit, Xi Jinping reportedly stated that “China and India should be good partners and neighbours who live in harmony and move forward hand in hand.”[128] China has welcomed India into the Shanghai Cooperation Organisation, and China’s endorsement of Pakistan’s placement on the “grey list” of the Financial Action Task Force (FATF) against terror financing in 2018, and later China’s lifting of the “technical hold” on the declaration of Jaish-e-Mohammed chief Masood Azhar as a global terrorist under the United Nations Sanctions List in 2019, have further improved bilateral ties.[129] Nevertheless, how far Beijing is willing to go in terms of taking more concrete steps of accommodation, like on the border issue in order to prevent India from drifting closer to the United States remains an open question.

If China pursues a strategy of binding towards India, we would see Chinese attempts to bind or tie India closer to itself through institutions and economic interdependence. In terms of institutions, Beijing has so far failed to include India in its BRI, leaving the Shanghai Cooperation Organisation as the only significant China-led institution that India has joined. Since India entered into the SCO as late as 2018, it is too early to tell if Beijing wants to and is able to use this organisation to bind India closer into the Chinese orbit. Even though China has emerged as India’s most important trading partner,[130] and it enjoys a huge trade surplus with India,[131] India is not economically dependent upon China. In 2017, China accounted for only 5 percent of Indian exports, while the United States was the largest export market, receiving 15 percent of total Indian exports of goods.[132] Hence, in recent years, China has taken steps resembling a wedging strategy towards India to prevent it moving into a closer alignment with the United States, and the accession of India